

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY

Master of Business Administration (MBA)

Semester – II University Examination, May 2010

MB 707 Macroeconomics and Business Environment

Date: 10.05.2010, Monday

Time: 12:30P.M. to 3:30P.M.

Maximum Marks: 70

Instructions:

1. This paper contains six questions, of which the last one is a case analysis
2. All questions are compulsory.
3. The first five questions will carry 10 marks each and the last one (case analysis) will carry 20 marks

Q-1 (a) A Government fiscal policy is concerned with taxation, borrowing and spending: 07
and their effects upon the economy- Explain the validity of this statement

Q-1 (b) If a chicken is born, per capita GDP goes up but if a child is born, the per capita 03
GDP goes down. How?

Q- 2 “If policy makers desire to reduce the unemployment rate, they would succeed only if 10
they are willing to accept a higher rate of inflation.”- Justify the above statement with
the help of Philips Curve.

Q-3 Suppose the Goodland economy has the following national accounting data: 10

Particulars	2008 (\$ billion)	2009 (\$ billion)
Personal Consumption	800	950
Investment	145	360
Property Income earned overseas	120	200
Subsidies	65	130
Indirect Taxes	105	160
Exports	110	200
Imports	130	150
Depreciation	80	90
Government Spending	270	290
Employees' Compensation	100	150
Transfer Payment	55	85

Find out the values of the following national aggregates in Goodland for the year 2008 and 2009.

1. GDP at Market Price
2. GNP at Market Price
3. GNP at Factor Cost
4. Net National Product

- Q- 4 What is an economic growth? Economic Growth is the key to a higher standard of living. How?
- Q- 5 (a) K. H Enterprise Ltd is an automobile spare part production firm. The firm is exporting its products in four countries i. e. USA, UK, Japan and China. If the value of rupee depreciate (i.e. 1\$ = 45 Rs. to 1\$ = 47 Rs.), what will be the impact on Firm's Export? 05
- Q- 5(b) Explain the term Keynesian Multiplier. 05
- Q- 6 The following news item appeared in Times of India on April 21, 2010: 20

RBI ups key rates, loans may be spared for now

In a bid to tighten money supply and curb rising prices, the Reserve Bank of India on 21st April hiked benchmark rates in the monetary policy for 2010-11. However, the good news for borrowers is that this may not lead to an immediate increase in loan rates, though there will certainly be an "upward bias".

"Whatever has been done in the policy has reduced the supply. So definitely there is an upward bias in rates. As credit demand increases, there will be a demand-supply gap, and then there is a possibility of interest rates going up," SBI chairman O P Bhatt said.

ICICI Bank MD Chanda Kochhar expressed a similar view, saying: "During the year, I do see the lending rates going up, but I don't see any immediate impact on rates." HDFC Bank MD Aditya Puri said lending rates would depend on the demand for funds. "We do not see any significant change in rates in the near term," he said.

M V Nair, CMD of government-owned Union Bank of India, said there was enough liquidity in the system to meet the credit demand. Yes Bank MD Rana Kapoor said as there was enough liquidity; interest rates were unlikely to firm up in the next couple of months since it was the lean business season when credit growth generally remained sluggish.

A positive signal about the continuation of a softer interest rate regime emanated from the fact that the RBI took a relatively flexible stand on rate hike on 21st April than was expected in its credit policy. With the inflation rate nearing 10%, the market was expecting the RBI to raise the key rates by 0.50 percentage points. But, RBI raised both the repo rate—the rate at which RBI lends overnight funds to banks—by 25 basis points to 5.25% and reverse repo rate—the rate at which banks park their surplus funds with the RBI—to 3.75%.

Besides this, the RBI also increased the cash reserve ratio—the proportion of deposits that banks are required to keep with the central bank—by 25 basis points to 6%. This measure will lead to an evacuation of Rs 12,500 crore from the banking system. But this will not have much impact as the banking system has a surplus liquidity of over Rs 50,000 crore.

RBI governor D Subbarao said that the stance of monetary policy is intended to anchor inflationary expectations while being prepared to respond appropriately, swiftly and effectively to further buildup of inflationary pressures. The central bank has pegged the annual inflation based on wholesale price index for March 2011 at 5.5%.

At the same time, it also aimed to "actively manage liquidity to ensure that the growth demand for credit by both the private and public sectors is satisfied in a non-disruptive way. As the economy picks up, the credit demand will also grow. In order to meet its 8% projected economic growth for 2010-11, the RBI has targeted a credit growth of banking sector at 20% as against 16.8% in 2009-10.

Besides this, the RBI in its statement also underlined the need for liquidity to meet the government's huge borrowing program of Rs 3,42,300 crore. "This presents a dilemma for the Reserve Bank," Subbarao said in his statement. Explaining the soft policy stance of the central bank, he said: "While monetary policy considerations demand that surplus liquidity should be absorbed, debt management considerations warrant supportive liquidity conditions."

Commenting on the policy stance, SBI's Bhatt said: "The policy is a signal that the central bank is concerned about both growth and inflation."

Going Slow

- Over Rs 50,000 cr excess liquidity in system, say bankers. RBI's measures will only suck out part of that figure
- Credit growth may remain sluggish for next few months since it's lean season
- Interest rates may rise later in the year as credit demand picks up.

Based on the above news item, answer the followings:

- a) What will be the short run impact of this monetary policy on the Indian economy?
- b) If inflation goes high, what will be the impact on personal consumption?
- c) What are the monetary measures to control supply of money?- Explain